

Investment Policy Statement

Effective 1 July 2026 · Version 7.2 · Supersedes Version 7.1 (1 July 2025)

Adopted by	Board of Trustees, on the recommendation of the Investment Committee
Approved	18 June 2026
Review cycle	Annually, and on any material change in circumstances
Owner	Office of the Chief Investment Officer
Fund assets	USD 850,000,000 as at 30 June 2026
Governing law	Uniform Prudent Management of Institutional Funds Act (UPMIFA)

This Statement governs the investment of the Endowment. It binds the Investment Committee, the Office of the Chief Investment Officer and any external adviser or manager engaged on the Endowment's behalf. Where a proposed action conflicts with this Statement, this Statement governs, and the conflict is resolved by the constraint hierarchy at Section 3.6 rather than by argument.

Signed	Role	Date
	Chair, Board of Trustees	18 June 2026
	Chair, Investment Committee	18 June 2026
	Chief Investment Officer	18 June 2026

1. Scope and Purpose

1.1 The investor

This Statement governs the Ashcroft University Endowment, a permanent fund held by Ashcroft University, a US institution of higher education. The Endowment is a perpetual pool. It is exempt from federal income tax, though unrelated business taxable income arises on debt-financed income, which is the operative reason for the prohibition on leverage at Section 3.5.

The Endowment exists to support the University's mission in perpetuity while funding a defined annual distribution. It presently funds approximately **18% of the University's operating budget**, a dependency that shapes the risk objective at Section 3.3 more than any other single fact about the fund.

1.2 Structure

Assets are held in a single commingled pool. Individual named endowments participate on a unit basis and are not separately invested. The pool is managed on a total-return basis, as permitted by UPMIFA, so distributions are met from total return rather than from income alone.

Implementation is through daily-liquid instruments only: exchange-traded funds, index funds and exchange-traded futures. The Endowment holds no private partnerships and undertakes no new commitments to vehicles carrying a lockup beyond the limit at Section 3.4.

1.3 Purpose of this Statement

This Statement records the Endowment's objectives, constraints and governance so that decisions can be taken consistently and reviewed against a standard fixed in advance. Its most important function arises in disrupted markets, when it supplies a pre-committed course of action at the moment an instinctive one would be most tempting and least defensible.

2. Governance

2.1 Allocation of responsibility

Body	Determines	Executes	Monitors
Board of Trustees	This Statement; the spending rule; the policy portfolio	Nothing directly	Annual review of the Committee
Investment Committee	Tactical policy within this Statement; manager and vehicle approval	Ratifies policy; does not approve individual trades	Quarterly against policy and benchmark
Chief Investment Officer	Recommendations to the Committee	All transactions; rebalancing; day-to-day management	Continuous; reports monthly
Risk function	Nothing; it holds no allocation authority	Compliance testing of every proposed allocation	Every proposal, and the portfolio continuously

The separation at the last row is deliberate. The risk function does not advise on allocation and does not compete with the Chief Investment Officer for influence over it. It applies the constraints in this Statement and returns a pass or a fail. **An allocation that fails does not proceed to the Committee.** The remedy is a different allocation or an amendment to this Statement, and never an adjustment to the test.

2.2 The Investment Committee

The Committee comprises seven members appointed by the Board, of whom at least four are independent of University management and at least three have professional investment experience. Four members constitute a quorum. The Chief Investment Officer attends and chairs the investment agenda but does not vote.

The Committee meets quarterly, and may be convened between scheduled meetings by the Chair or by any two members. It ratifies policy. It does not approve individual trades, which are the responsibility of the Chief

Investment Officer under Section 2.1.

Minutes record dissent. Where a member or a desk dissents from a decision, the minutes carry the dissent, its grounds, and whether it was resolved against or merely noted. A decision recorded as unanimous is a decision that was unanimous. The Board reads these minutes as the primary evidence that the Committee deliberated rather than ratified.

2.3 Review and amendment of this Statement

The Committee reviews this Statement annually and recommends amendments to the Board, which alone may adopt them. Between reviews, an amendment may be proposed at any time by the Chair, the Chief Investment Officer or any two members, and a material change in the University's circumstances requires a review whether or not the annual one is due.

Where analysis shows an objective in this Statement to be unattainable, the finding is escalated to the Board as an amendment question. It is not resolved inside the portfolio by taking risk the Statement does not permit.

2.4 External advisers

The Committee engages and discharges the custodian, the independent performance auditor and any external manager or adviser, on the recommendation of the Chief Investment Officer. Engagements are reviewed at least every three years. No adviser has discretionary authority over asset allocation.

2.5 Asset allocation inputs

The Chief Investment Officer is responsible for the capital market assumptions underlying any allocation recommendation, and for disclosing them. Assumptions are drawn from published long-horizon forecasts of recognised investment houses, and the Committee is told which houses, of what vintage, and what the dispersion across them is. A single-source assumption is not acceptable.

Historical analysis supporting any recommendation uses information as it stood on the date under study, per the evidence standard at Section 4.4.

3. Investment, Return and Risk Objectives

3.1 Overall investment objective

To preserve the real purchasing power of the Endowment in perpetuity while funding the annual distribution, and to do so within the risk limits at Section 3.3. Preservation is measured net of higher-education inflation, not consumer price inflation, because the University's costs follow the former.

3.2 Return requirement

Spending rate	4.50% of the trailing three-year average market value, smoothed, distributed quarterly
Cost inflation	Higher Education Price Index, assumed 3.20% long run
Fees and costs	0.40%
Required return	8.10% nominal, long run
Annual distribution	Approximately USD 38,000,000

The required return is arithmetic, not aspiration. It is the rate at which the distribution is funded and real value is held constant. Where prevailing capital market assumptions imply the policy portfolio cannot earn it, the shortfall is reported to the Board under Section 2.3 as a spending-rule question.

3.3 Risk objective and tolerance

Ability to bear risk is high. The horizon is perpetual, no debt is held against the corpus, and no regulatory funding test applies.

Willingness to bear risk is moderate, and it binds. Because the Endowment funds 18% of the operating budget, a distribution cut transmits directly into University operations. The Board has therefore set a **–20% peak-to-trough limit** on the value of the pool, beyond which the distribution is reduced. That reduction is the outcome the University is least able to absorb.

These two are in tension by construction, and the tension is not an oversight. An 8.10% required return implies substantial equity risk. A –20% drawdown limit alongside an 18% budget dependency implies materially less. Any recommendation brought to the Committee must state which of the two it is giving ground on, and why. A recommendation that implies both are satisfied has not understood one of them.

3.4 Liquidity and horizon

Horizon	Perpetual, with a near-term leg: a USD 60,000,000 capital campaign inflow expected in year three
Distribution	Approximately USD 38,000,000 a year, paid quarterly
Liquidity floor	Minimum 15% of net asset value realisable within five business days
Lockups	No new lockup commitments beyond 10% of net asset value

The campaign inflow is staged into policy weights over a defined window. It is not timed against a market view.

3.5 Legal and unique constraints

Board exclusions. No direct exposure to tobacco or thermal coal. Compliance is assessed at the vehicle level, and a broad index vehicle carrying incidental exposure is disclosed rather than deemed compliant by silence.

No leverage at fund level. Gross exposure does not exceed net asset value. The constraint is driven by unrelated business taxable income on debt-financed income and is not a risk preference that analysis may trade against.

Daily liquidity in implementation. Exchange-traded funds, index funds and exchange-traded futures only.

3.6 Constraint hierarchy

Pre-committed, so that a conflict is resolved by this Statement rather than by whichever analysis argues most confidently at the meeting.

Rank	Constraint	Standing
1	Liquidity. The distribution is funded.	Not negotiable
2	Legal, UBTI, board exclusions	Not negotiable
3	Drawdown limit, –20% peak to trough	Hard
4	Tracking error budget, 200bps ex ante	Hard
5	Return objective, 8.10%	Best efforts

A tactical view that would breach rank 3 or rank 4 is **truncated to the constraint**. It is not overridden by argument, and the truncation is minuted.

4. Risk Management, Measurement and Reporting

4.1 Policy portfolio

Nine lines. Tactical positions are taken against these weights and must remain inside the permitted range, **which binds independently of the tracking-error budget**. A position inside the tracking-error budget but outside its range is a breach.

Sleeve	Line	Policy	Range	Vehicle
Equity 70%	US equity	38%	28 – 48%	SPY / VTI
	Developed ex-US	20%	12 – 28%	EFA / VEA
	Emerging markets	12%	5 – 19%	EEM / VWO
Fixed income 25%	US Treasury duration	12%	5 – 22%	IEF / TLT
	US investment grade	8%	3 – 13%	LQD
	US high yield	5%	0 – 10%	HYG
Real assets 5%	Commodities	3%	0 – 8%	DBC / GSG
	Listed real estate	2%	0 – 6%	VNQ
Cash 0%	T-bills	0%	0 – 10%	BIL / SGOV

Sleeve totals may move within: equity 60 – 80%, fixed income 15 – 35%, real assets 0 – 10%.

Cash is a position, not a residual. When the volatility forecast rises, raising cash is the cheapest available means of reducing risk, and the range exists so that it can be used rather than admired.

Investable dates bind. HYG lists from 2007, DBC from 2006, EEM from 2003, VNQ from 2004. Historical work either starts each line at its own investable date, or uses index history for estimation and states plainly that implementation is assumed. Mixing the two without saying so is not acceptable.

4.2 Tactical budget

Tracking error	200bps ex ante against the policy portfolio
Minimum trade	50bps. Anything smaller does not justify the turnover
Benchmark	The policy portfolio, blended at the weights in Section 4.1

4.3 Measurement and reporting

Performance is reported to the Committee quarterly and to the Board annually, **always against the benchmark and never in isolation**. Presentation follows the Global Investment Performance Standards, including the risk statistics required for the benchmark as well as for the portfolio, and the disclosure required of a blended benchmark.

Reporting carries, at minimum: return against benchmark for the period and since inception; ex-ante and realised tracking error; peak-to-trough drawdown against the Section 3.3 limit; position of every line against policy and against its range; compliance status on every constraint in Section 3.6; and turnover with its cost in basis points against the value it was intended to add.

4.4 Evidence standard

Public data only. Nothing behind a subscription or paywall.

Point in time. Historical analysis uses data as it stood on the date in question. Macroeconomic series are taken from published vintages, never from the current revision, since a revised figure was not available to anyone trading on the date under study. Access runs through a single enforced path rather than relying on the analyst to remember, and a test asserts it.

State the falsifier. A view that cannot be shown wrong does not enter a recommendation. Every deviation from consensus carries what would refute it, and a date by which that would be known.

4.5 Rebalancing

The portfolio is rebalanced on breach of a tolerance band rather than on a fixed calendar. Corridor widths are set with regard to the volatility and transaction cost of each line, and the Committee is told what they are and what determined them. Positions are monitored monthly and the portfolio is reset to policy at least annually and

around the campaign inflow at Section 3.4.

The interaction between the minimum trade size at Section 4.2 and corridor width is explicit in the rebalancing policy, since a corridor narrower than the minimum trade cannot be acted on.

Adopted by the Board of Trustees on 18 June 2026 on the recommendation of the Investment Committee. Next scheduled review June 2027.